BOARD QUESTION PAPER: JULY 2023
SECRETARIAL PRACTICE

Time: 3 Hrs. **Max. Marks: 80**

Note: *(1) All questions are compulsory.*
(2) Figures to the right indicate full marks for the questions.
(3) Figures to the left indicate question numbers.
(4) Answer to every question must be started on a new page.

Q.1. (A) Select the correct answer from the options given below and rewrite the sentences: **(5)[20]**

1. _____ is related to money and money management.
   (a) Production (b) Marketing (c) Finance
2. Debenture holders are _____ of the company.
   (a) Creditors (b) Owner (c) Suppliers
3. Deposit can be accepted for a minimum of 6 months and maximum for _____ months.
   (a) 36 (b) 03 (c) 30
4. A stock exchange is where stock brokers and traders can buy and sell _____.
   (a) gold (b) securities (c) goods
5. In India, Depository Act was passed in _____.
   (a) 1919 (b) 1996 (c) 1999

(B) State whether the following statements are True or False: **(5)**

1. Working capital stays in the business almost permanently.
2. Equity shareholders enjoy fixed rate of dividend.
3. The member transferring shares is called transferor.
4. Transfer of securities is easier in electronic mode.
5. Money market is the market for the long term funds.

(C) Select the correct option from the bracket: **(5)**

	Group 'A'		Group 'B'
(a)	Public Deposits	(1)	_____
(b)	_____	(2)	Employee Stock Option Scheme (ESOS)
(c)	No voting rights	(3)	_____
(d)	_____	(4)	Bonus shares
(e)	_____	(5)	Payment of Dividend

[Debenture holders, within 30 days, short term loan, Capitalization of Reserve Fund, shares offered to existing employees]

(D) Write a word or a term or a phrase which can substitute each of the following statements: **(5)**

1. Capital collected by way of issue of equity and preference shares.
2. Authority which has power to issue debentures.
3. Documentary evidence of holding the debentures.
4. Return on investment on deposit.
5. The meeting where final dividend is declared.

Q.2. Explain the following terms / concepts (Any FOUR): **[8]**

1. Fixed capital
2. Overdraft
3. Employees Stock Purchase Scheme (ESPS)
4. Dematerialization
5. Primary market
6. Stock Exchange

Q.3. Study the following cases / situations and express your opinion (Any TWO): **[6]**

1. DDS Financial plans to raise ₹10 crores by issuing secured, Non-convertible debentures. However, as per the Articles of Association, the Board of Directors has authority only to raise upto 5 crores. They are also considering whether to go for private placement or make public offer. Please advise them on the following:
   a. What can be the maximum tenure of the debentures to be issued?
   b. Is the proposed issue within the borrowing powers of the Board?
   c. Within what period should company issue Debenture Certificate?
2. Mrs. Alka wishes to open a Demat account in her name:
   a. Can she open the account going to Mumbai office of NSDL?
   b. Is she required to pay for opening of account and its maintenance?
   c. Does she have to send the shares to respective company for demating?
3. ABC Co. Ltd. decides to pay Interim Dividend:
   a. Can it be paid out of free reserves?
   b. Does the Board have a right of declaring the interim Dividend at the Board Meeting?
   c. Should the company distribute the dividend within 30 days of its declaration?

Q.4. Distinguish between the following (Any THREE): **[12]**

1. Shares and Debentures
2. Transfer of shares and Transmission of shares
3. Money market and Capital market
4. Interim Dividend and Final Dividend

Q.5. Answer in brief (Any TWO): **[8]**

1. State the provisions related to issue of Bonus Shares.
2. Explain any four advantages of Depository system to Investors.
3. State the functions of SEBI.

Q.6. Justify the following statements (Any TWO): **[8]**

1. There are various factors affecting the requirement of fixed capital.
2. A company can issue only certain types of debentures.
3. All companies cannot accept deposits from public.
4. Dividend is paid out of profits of the company.

Q.7. Attempt the following (Any TWO): **[10]**

1. Write a letter to the shareholder regarding issue of Bonus Shares.
2. Draft a letter of allotment of debentures.
3. Draft a letter of thanks to the depositor of a company.

Q.8. Answer the following questions (Any ONE): **[8]**

1. What is Debenture? Explain the different types of debentures.
2. Explain the classification of share capital.